

ACCOUNTING 2021

(AS PER CONDENSED SYLLABUS)

TIME: 2 Hours (Regular & Private) (75 Marks)

NOTE:

- This section consists of 25 part questions and all are to be answered. Each question carries TWO marks.
- Do not copy the part questions in your answer book. Write only the answer in full against the proper number of the question and its part.

SECTION 'A' (Multiple Choice Questions)(50)

1. Choose the correct answer for each from the given options:

- The nature of sales discount account is:
* revenue * expense
* contra asset * contra revenue ✓
- Commission earned but not received is treated as:
* Income * Asset ✓ * Liability * Expense
- List of all account balances is called:
* Journal * Trial Balance ✓
* Ledger * Accounting expense
- Accrued expenses account nature is:
* Asset * Liability ✓ * Expense * Revenue
- The excess of assets over capital is:
* Income * Liability ✓ * Profit * expense
- Rent collected in advance is recorded as:
* Prepaid Rent * Rent Income
* Unearned Rent ✓ * Rent Expense
- Inventory of merchandise is reported on the balance sheet as:
* Current asset ✓ * Fixed Asset
* Intangible asset * Contra asset
- If net profit of Sadfar Traders is 25% of gross profit of Rs. 5,000/- the amount of operating expenses is:
* Rs. 1250 * Rs. 3750 ✓ * Rs. 4,150 * Rs. 6250
- This account usually shows credit balance:
* Revenue ✓ * Asset * Expense * Drawings
- Cost of Goods Sold plus Gross Profit is equal to:
* Net Sales ✓ * Net Profit
* Operating expense * Net Loss
- Cash Book is used for recording:
* Cash receipts only * Cash payments only
* Cash and Credit transactions * Cash Transactions
- Income statement is prepared to know:
* Net Income or loss ✓ * Financial position
* Total assets * Total equities
- Owner's equity is decreased by:
* Net profit * Net loss ✓
* Additional Investment * Gross Profit
- If assets of a business amounts to Rs. 180,000/- and its liabilities are 1/3 of its assets, then the amount of liabilities will be:
* Rs. 120,000 * Rs. 90,000 ✓ * Rs. 60,000 * Rs. 45,000
- This cannot be classified as a liability:
* Bank Overdraft * Bank Loan
* Unearned Income * Office Supplies ✓
- An amount paid from the business for the electricity bill of the owner's residence will be treated as:
* Utilities Expense * Drawing ✓
* Capital * Electricity Expense
- Journals are also called a book of:
* Final entries * Original entries ✓
* Financial Statements * Trial Balance
- Current Liabilities are considered to be paid or settled:
* Within 12 months ✓ * In 15 months
* Before the delivery of goods purchase * After 5 years
- This account normally shows debit balance:
* Sales * Sales Return & Allowance ✓
* Accounts Payable * Capital
- A brief explanation below each entry is called:
* Narration ✓ * Indentation * Ruling off * Balancing
- An entry with one debit and one credit is called:
* Simple entry ✓ * Compound entry
* Contra entry * Double entry
- An overdraft balance in the cash book is by nature:
* Liability ✓ * Income * Capital * Asset
- The term interest System is concerned with the:
* Cash Book * Purchase Journal
* Petty Cash Book * Bank Reconciliation Statement
- An undated cheque refers to:
* A cheque deposited into the bank but yet not credited by the bank ✓
* A cheque issued to supplier but yet not withdrawn by him
* A cheque returned un-paid by the bank
* A cheque credited by bank
- Cash book also serves the purpose of:
* Cash Ledger * Special journal
* Cash Journal ✓ * Petty Cash

SECTION 'B' (Short-Answer Questions) (20)

NOTE: Attempt THREE Questions from this Section. All questions carries equal marks.

2. ACCOUNTING EQUATION:

PAI PALEI KIDUNYA **ACCOUNTING**

Given below the transactions of Mr. Majid, a sole trader, ignoring amount:

- Mr. Majid invested cash in business
- Purchased merchandise on account
- Borrowed cash from bank.
- Sold merchandise on account at more than cost.
- Paid salaries expense
- Withdraw cash for personal use.

REQUIRED:

Indicate the effects of the above transactions on the elements of Accounting Equation using increase "+" for decrease and "0" for no change.

3. GENERAL JOURNAL:

On August 01, 2020, Mr. Bilal Ali Shah started a business with the name of Bilal Traders by investing cash Rs. 170,000 and furniture worth Rs. 50,000.

Aug 04: Purchased merchandise costing Rs. 80,000 out of which Rs. 20,000 paid in cash and the balance will pay later.

Aug 10: Sold merchandise for Rs. 90,000 out of which 20% were sold for cash and the balance on credit.

Aug 18: Paid cash to supplier Rs 20,000 as part payment.

Aug 23: Mr. Bilal withdrew cash Rs. 15,000 and merchandise costing Rs. 5,000 for personal use.

Aug 31: Paid Salaries to employees Rs. 10,000 in cash.

REQUIRED: Record the above transactions in a standard form of General Journal.

4. CASH BOOK:

M/S Hamid Super Stores uses three column cash book for recording their cash and bank transactions. On May 01, 2021, they had cash in hand Rs.

90,000 and cash at bank Rs. 10,000. During the month of May, 2021, they completed the following transactions:

May

05 Received cheque from Mr. Saad Khan Rs. 15,000 in full settlement of his account of Rs. 15,250.

08 Cash sales Rs. 30,000 and credit sales Rs. 40,000

10 Purchased goods for cash Rs. 20,000

13 Deposited cheque of Mr. Saad into bank.

28 Paid cash for the rent of the office Rs. 12,000.

29 Withdrew cash Rs. 3,000 from bank for office use.

REQUIRED: (i) Bring down the opening on May-01, 2021 and record the transactions for the month of May in three columns cash book.

ii) Balance and rule off the cash book on May 31, 2021 and bring down the balances on June 01, 2021.

5. BANK RECONCILIATION STATEMENT:

A comparison of cash book of Imran Umar Associates and the bank statement for the month of April 30, 2021 revealed the following:

i) Balance as per cash book Rs. 65,000.

ii) Balance as per bank statement Rs. 70,000

iii) Cheque deposited but not cleared Rs. 800.

iv) Cheque issued but not presented for payment Rs. 400

v) Bank charges not recorded in Cash Book Rs. 400

vi) Direct deposit by a customer Badar Alam Shah, not recorded in the Cash Book Rs. 1400

vii) Rent credited by bank but not recorded in the cash book Rs. 400

REQUIRED: (i) Prepare a bank reconciliation statement as on April 30, 2021.

(ii) Prepare necessary adjusting entries in the general journal of Imran Umar Associates.

6. SPECIAL JOURNAL:

The following transactions were completed by Ms. Maryam during April 2021:

April 05: Purchased merchandise on account from Ather Rs. 40,000

April 10: Purchased merchandise on account from Hamid Rs. 50,000

April 15: Returned defective merchandise to Ather worth Rs. 10,000.

April 20: Returned inferior merchandise to Hamid worth Rs. 15,000

April 25: Purchase merchandise on account from Hifza Rs. 25,000

REQUIRED: Enter the above transactions in Purchase Journal and Purchase return and allowances Journal.

SECTION "C" (Detailed Answer Questions) (20)**7. FINANCIAL STATEMENT:**

Given: The following are unadjusted account balances taken from the books of M/S. Abdur Rehman Traders on December 31, 2020:

	Debit	Credit
Cash	10,000	
Accounts Receivable	15,000	
Merchandise Inventory (January 1 st , 2020)	10,000	
Prepaid Insurance	7,000	
Office Equipment	44,000	
Allowance for Depreciation (Office Equipment)		8,000
Accounts Payable		7,000
Capital Abdur Rehman		60,000
Drawing Abdur Rehman	8,000	
Sales Revenue		97,000
Sales Return & Allowances	7,000	
Purchases	42,000	
Purchase Discount		7,000
Transportation in	4,000	
Advertising Expense	10,000	
Office Salaries Expense	22,000	
TOTAL	179,000	179,000

Supplementary data for adjustment on December 31, 2020:

i) Prepaid Insurance Rs. 4,000

ii) Estimated depreciation on Office Equipment Rs. 5,000

iii) Advertising prepaid was Rs. 1500

REQUIRED: Prepare the necessary adjusting entries in General Journal

iv) Merchandise Inventory on December 31, 2020 was valued at Rs 16,000

v) Allowance for Bad debts estimated Rs. 750.

REQUIRED: Attempt any TWO of the following:

a) Pass the necessary adjusting entries in General Journal

b) Prepare Income Statement for the year ended December 31, 2020

c) Prepare a classified Balance Sheet in classified account form as on

BOARD OF INTERMEDIATE EDUCATION, KARACHI
INTERMEDIATE EXAMINATION, 2019 (ANNUAL)

Date: 18.04.2019
2:00 p.m. to 2:20 p.m.

ACCOUNTING PAPER – I
(Commerce Group – Regular & Private)

Max. Marks: 20
Time: 20 minutes

The correct answers
are highlighted in red

SECTION 'A'
(MULTIPLE CHOICE QUESTIONS) – (M.C.Qs.)

Code:AC-01

Write this Code in the Answerscript.

- NOTE:**
- This section consists of 20 part questions and all are to be answered. Each question carries one mark.
 - Do not copy the part questions in your answerbook. Write only the answer in full against the proper number of the question and its part.
 - The code of your question paper is to be written in bold letters in the beginning of the answerscript.

I. Choose the correct answer for each from the given options:

- Nature of petty cash fund account is:
* Liabilities * **Assets** * Expenses * Revenue
- Rent collected in advance is recorded as:
* Prepaid rent * Rent Income * **Unearned rent** * Rent expense
- These items are not included in the basic accounting equation:
* Assets * **Revenue** * Liabilities * Owner's Equity
- A business has Land Rs. 1,000,000, Cash Rs. 500,000 and Loan Rs. 300,000, the Owner's equity is Rs.:
* 1,500,000 * 300,000 * **1,200,000** * 800,000
- This account is not current asset:
* Accounts Receivable * Office Supplies * Prepaid Advertising * **Vehicle**
- Merchandise, purchased on account, would be recorded in:
* **Purchase journal** * General Journal * Purchase return journal * Cash Book
- Allowance for depreciation account is a:
* Contra liability * **Contra asset** * Contra revenue * Contra expense
- Paid for rubber stamps of business are recorded in petty cash book in:
* Postage and telegram * **Stationery** * Entertainment * Sundry expense
- This is not a liability account:
* Accounts Payable * Accrued Expense * **Cash** * Notes Payable
- In Cash Book, Contra entries are recorded on:
* One side only * **Both sides** * Receipt side * Payment side
- The excess of assets over capital is:
* Income * **Liability** * Profit * Expense
- The claim of the creditors against the assets of a business is known as:
* Accounts Receivable * Owner's Equity * **Liabilities** * Assets
- Accrued Expenses are:
* Assets * **Liabilities** * Expense * Revenue
- Credit purchase of furniture is recorded in:
* Purchase Journal * **General Journal** * Sales Journal * Cash Book
- This account is shown in both Income statement and Balance sheet:
* **Merchandise Inventory(ending)** * Merchandise Inventory(beginning)
* Depreciation Expense * Rent Receivable
- Commission earned but not received is treated as:
* Income * **Asset** * Liability * Expense
- The nature of Purchase discount is:
* Contra Assets * Contra Purchase * **Contra Expense** * Contra Revenue
- This account is not recorded in closing process:
* Commission Income * **Unearned Income** * Salary Expense * Rent expired
- If one entry has more than one debit or credit it is called:
* Double entry * **Compound entry** * Contra entry * Simple entry
- Drawing is a contra account of:
* Assets * Liabilities * Revenue * **Owner's equity**

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SECTION 'C'
(DETAILED-ANSWER QUESTIONS) (40 Marks)

Answer any Two questions from this section. All questions carry equal marks

8. **FINANCIAL STATEMENT: (INCOME STATEMENT & BALANCE SHEET)**
 Following balances are shown in the books of Nizamuddin Architect consultancy on December 31, 2023:

	Debit	Credit
Salaries Expense	Rs.25,000	
Advertising Expense	Rs.10,000	
Rent Expenses	Rs.40,000	
Cash	Rs.18,000	
Prepaid Insurance	Rs.15,000	
Consultation Fee Receivable	Rs.11,000	
Equipment	Rs.55,000	
Furniture	Rs.35,000	
Drawing	Rs.6,000	
Depreciation Expenses - Equipments	Rs.9,000	
Consultation Fee		Rs.90,000
Salaries Payable		Rs.13,000
Accrued Rent		Rs.12,000
Capital - Nizamuddin		Rs.100,000
Allowance for Depreciation - Equipments		Rs.9,000
Total	Rs.224,000	Rs.224,000

Required:

- Prepare income statement for the year ended December 31, 2023.
- Prepare classified Balance Sheet as on December 31, 2023

9. **FINANCIAL STATEMENT (ADJUSTING ENTRIES):**

The following is the pre-closing trial balance of Ahsan & Brothers prepared on June 30th 2023:

Debit Balances:

Cash	Rs.700
Office Supplies	Rs.200
Prepaid Advertising	Rs.2,000
Furniture	Rs.5,000
Salaries Expense	Rs.1,000
Rent Expense	Rs.1,000
Total	Rs.9,900

Credit Balances:

Allowance for Depreciation Furniture	Rs.250
Ahsan's Capital	Rs.3,000
Commission Income	Rs.6,650
Total	Rs.9,900

Data for Adjustments:

- Office supplies in hand Rs.50.
- Advertising expired Rs.1,500.
- Outstanding salaries Rs.300.
- Actual rent expense for the year Rs.800.
- Commission received but not yet earned Rs.400.
- Commission earned but not yet received Rs.100.
- Current year depreciation on furniture Rs.750.

Required: Prepare the adjusting entries on June 30th 2023.

10. **FINANCIAL STATEMENT (CLOSING ENTRIES):**

Required: Take the data from the question # 09 and prepare closing entries.

BOARD OF INTERMEDIATE EDUCATION, KARACHI
INTERMEDIATE EXAMINATION, 2024 (ANNUAL)

Max Marks: 80
Time : 2 hours 40 minutes

Date: 08.07.2024
2:00 p.m. to 4:40 p.m.

ACCOUNTING PAPER – I

(Commerce Group – Regular & Private)

(For Failure, Improvement of Grade and Additional Subject Candidates only)

SECTION 'B'

(SHORT-ANSWER QUESTIONS) (40 Marks)

NOTE:

Answer any Four questions from this Section. All questions carry equal marks. The use of calculator is allowed.

2. a) State the rules of Debit and Credit.
b) Write the steps of Accounting cycle.

3. GENERAL JOURNAL:

Mr. Muhammad Akram, a sole trader started business on July 01, 2023 with cash investment of Rs. 1,000,000 and equipment valued Rs. 250,000. He completed the following transactions during the month of July:

- July 05: Purchased goods worth Rs. 500,000 from Mr. Siddique Stores by paying cash Rs. 350,000 (Balance to be paid in 30 days).
July 10: Applied for bank account with a minimum deposit limit Rs. 50,000.
July 12: Cash deposited into the bank Rs. 100,000.
July 16: Issued a cheque for supplies purchased Rs. 20,000.
July 19: Paid to Mr. Siddique stores as full and final settlement of his account and availed cash discount Rs. 15,000.
July 21: Sold merchandise for cash Rs. 150,000.
July 30: Mr. Muhammad Akram withdrew goods worth Rs. 36,000 for personal use.

Required:

Record the above transactions in the books Mr. Muhammad Akram Traders in proper form.

4. SPECIAL JOURNAL:

The following transactions were completed by Saleem during May 2023:

- May 05: Purchased merchandise on account from Mr. Razi Rs. 2,500.
May 12: Purchased merchandise on account from Mr. Khalid Rs. 4,000.
May 18: Returned defective merchandise to Mr. Razi Rs. 250.
May 22: Purchased merchandise from Mr. Abdul Rs. 3,000.
May 28: Returned inferior merchandise to Mr. Khalid Rs. 400.

Required:

- a) Record the transactions in Purchase Journal.
b) Record the transactions in Purchase Returns and Allowances Journal.

5. BANK RECONCILIATION STATEMENT:

As on March 31, 2024 the bank balances as per cash book of S.M. Tariq & Sons is Rs. 15,000 (overdraft) and bank statement showed a credit balance of Rs. 12,000. A comparison of cash book and bank statement for the month of March revealed the following:

- March 06: Cheque deposited to Rs. 55,000 and so far cheque cleared amounting Rs. 40,000.
March 10: Company's note payable paid by the bank Rs. 25,000, not recorded in cash book.
March 12: Dividend collected and credited by the bank was not shown in cash book Rs. 30,000.
March 16: A cheque issued to Mr. Islam for consultancy services of Rs. 12,000. It was erroneously recorded as Rs. 21,000 in cash book.
March 19: Cheque issued to Rs. 66,000 but so far cheques presented to Rs. 31,000.
March 22: Bank charges Rs. 7,000 not recorded in cash book.

Required:

Prepare bank reconciliation statement as on March 31, 2024.

6. CASH BOOK:

Mr. Abdul Hameed maintains cash book on monthly basis. On January 01, 2024 cash in hand was Rs. 25,000 and cash at bank was Rs. 13,000 (overdraft). During the month of January, 2024 following transactions were completed.

- January 04: Purchased goods for cash Rs. 8,000.
January 09: Received a cheque of Rs. 26,000 from Mr. Naseer (customer) after allowing a discount Rs. 1,200 cheque was deposited in the bank same day.
January 11: Paid Rs. 5,300 cash to Mr. Salahuddin in full and final settlement of his account Rs. 6,000.
January 16: Withdrew cash from bank by Mr. Abdul Hameed for personal use Rs. 2,500.
January 23: Paid staff salaries for the month Rs. 12,000.
January 27: Cash sales deposited in the bank Rs. 17,000.
January 29: Withdrew cash from bank for office use Rs. 25,000.

Required:

Prepare three column cash book and balance the cash book on January 31, 2024 being down the balance on February 01, 2024.

CORRECTION OF ERRORS:

Following errors were identified before closing of books of Mr. Jahangeer computers:

- i) Purchases of furniture Rs. 5,200 on credit, was debited to furniture account Rs. 2,500.
ii) Sales return of Rs. 1,500 debited to sales account.
iii) Sale of office equipment for Rs. 10,000 credited to sales account.
iv) Received a sum of Rs. 15,000 from Arif was credited to Atif account.
v) Withdrawal from bank by the owner Rs. 4,000 for his personal use had not been recorded.
vi) Rent paid in advance Rs. 12,000 was credited to prepaid rent account.

Required:

Prepare correcting entries in General Journal.

Continued on the next page

BOARD OF INTERMEDIATE EDUCATION, KARACHI

INTERMEDIATE EXAMINATION, 2024 (ANNUAL)

ACCOUNTING PAPER – I

(Commerce Group – Regular & Private)

(For Failure, Improvement of Grade and Additional Subject Candidates only)

SECTION 'A'

(MULTIPLE CHOICE QUESTIONS – M.C.Qs.)

Max. Marks: 20
Time: 20 minutes

Marks : 20

NOTE:

- This section consists of 20 part questions and all are to be answered. Each part question carries 1 mark.
- Do not copy the part questions in your answerbook. Write only the answer in full against the proper number of the question and its part.
- The use of calculator is allowed.

1. Choose the correct answer for each from the given options:

- It is not a non-current asset:
• Machinery • Building • Supplies • Furniture
- This is not shown in income statement:
• Rent Expenses • Interest Income • Utility Expenses • Salary Payable
- The arithmetical accuracy of postings into the ledger accounts is verified by:
• General Journal • General Ledger • Trial Balance • Cash Book
- Cash purchases of merchandise is recorded in:
• Cash Book • Petty Cash Book • Purchase Journal • Purchase Returns Journal
- The imprest system is followed to replenish the fund periodically related to:
• Petty Cash Fund • Cash Book • Sales Register • Purchase Journal
- Unpaid cheque by bank is called:
• Unpresented Cheque • Dishonoured Cheque • Uncleared Cheque • Stale Cheque
- When a transaction is left over to record in the books of accounts, this error is called:
• Error of Principle • Error of Omission • Error of Commission
- Petty Cash Book contains the transactions of:
• Small Disbursement of Fund • Sales of Furniture • Purchases of Land • Investment of Business
- Amount is withdrawn by owner for his own use is debited to:
• Drawings • Capital • Purchases • Sales
- Inferior merchandise is returned back to supplier is called:
• Sales Returns • Sales Discount • Purchase Discount • Purchase Returns
- Fee paid in advance but not expired is a/an:
• Owner's Equity • Asset • Liability • Expense
- In Cash Book, discount allowed is recorded in/on:
• both sides • not on any side • debit side • credit side
- The correct equation is:
• Assets + Liabilities = Capital
• Assets + Capital = Liabilities
• Assets – Liabilities = Capital
• Capital – Liabilities = Assets
- This is a merchandising business:
• Beauty Parlour • Workshop • Ice cream Parlour • Estate Agency
- Allowance for depreciation is an examples of:
• Current Assets • Long Term Assets • Fixed Assets • Contra Assets
- Cost of Goods Sold + Gross Profit is equal to:
• Operating Expenses • Net Sales • Net Profit • Net Loss
- Rent received in advance but still not earned:
• Unearned Rent • Earned Rent • Expired Rent • Prepaid Rent
- This is not the book of original entry:
• Cash Book • Sales Journal • General Ledger • Purchase Returns Journal
- Error of principle affects the accuracy of:
• Journal • Ledger • Trial Balance • Financial Statement
- It is a contra revenue account:
• Allowance for bad debts • Sales returns • Drawing • Purchase discount

ACCOUNTING 2018

Time: 20 Minutes

(Regular & Private)

Max. Marks: 20

SECTION "A" (MULTIPLE CHOICE QUESTION)

1. Choose the correct answer for each from the given options:

- (i) A sequence of Accounting procedures is:
♦ Accounting Equation ♦ Accounting Cycle
♦ Accounting Title ♦ Accounting Period
- (ii) If Gross Profit is Rs.80,000 which is 20% of sales, then the amount of sale is:
♦ Rs.400,000 ♦ Rs.480,000 ♦ Rs.520,000 ♦ Rs.100,000
- (iii) This is shown as a non-current Asset in Balance Sheet:
♦ Cash ♦ A/c. Receivable
♦ Machinery ♦ Prepaid Insurance
- (iv) At the end of a accounting year, these accounts are closed:
♦ Assets ♦ Owner's Equity
♦ Liabilities ♦ Expenses & Revenues
- (v) In Bank Reconciliation statement, unpaid cheque is:
♦ added in Bank Statement ♦ deducted in Bank Statement
♦ added in Cash Book ♦ deducted in Cash Book
- (vi) Merchandise sold on credit is recorded in:
♦ Cash Book ♦ Sale Journal
♦ Either cash Book or Sale Journal ♦ Petty Cash Book
- (vii) Net Income = Operating Expenses =:
♦ Cost of Goods Sold ♦ Gross Profit
♦ Net Sales ♦ Total Purchases
- (viii) Bank statement does not show:
♦ Deposit in transit ♦ Direct deposit
♦ Bank charges ♦ Interest on Deposit
- (ix) Owner's personal expenses, withdraw from business, are closed by:
♦ Assets ♦ Liabilities ♦ Owner's equity ♦ Revenue
- (x) The arithmetic accuracy of account is verified by:
♦ Balance Sheet ♦ Income Statement
♦ Bank Reconciliation ♦ Trial Balance
- (xi) Any entry, which has more than one debit or credit, is called:
♦ Single Entry ♦ Double Entry
♦ Compound Entry ♦ Contra Entry
- (xii) In Ledgers, we use pencil for:
♦ Posting ♦ Footing ♦ Balancing ♦ Closing
- (xiii) This account is irrelevant for the Cost of Goods Sold:
♦ Purchase ♦ Carriage In
♦ Inventory ♦ Sale Return & Allowance

- (xiv) Salary Expenses not yet paid are classified as:
♦ Prepaid salary ♦ Salary expense
♦ Accrued salary ♦ Unearned salary
- (xv) If the proprietorship is $\frac{3}{5}$ of total assets Rs.300,000, than the amount of liabilities is:
♦ Rs.120,000 ♦ Rs.140,000 ♦ Rs.160,000 ♦ Rs.180,000
- (xvi) Creditors are also termed as:
♦ Account Receivable ♦ Account Payable
♦ Bill Receivable ♦ Receiver
- (xvii) Sale is best described by:
♦ Sale of merchandise ♦ Sale of asset
♦ Cash sale ♦ Credit sale
- (xviii) This is not a contra account:
♦ Purchase return ♦ Drawing ♦ Sale return ♦ Furniture
- (xix) The nature of Allowance for Depreciation is:
♦ Assets ♦ Liabilities ♦ Contra Assets ♦ Expenses
- (xx) Advance received from customers is classified as:
♦ Assets ♦ Liabilities ♦ Proprietorship ♦ Revenues

2018

Time: 2 Hours 40 Minutes (Regular & Private) Marks: 80

SECTION 'B' (SHORT-ANSWER QUESTIONS)(50)

NOTE: Attempt any 04 question from this section.

2. (a) For each of the following, determine the underlined missing items:

- The Liabilities of a business entity, having Assets of Rs.550,000 and owner's equity Rs.400,000.
- The Owner's equity of a business entity, having Assets of Rs.600,000 Liabilities Rs.120,000.
- The Expenses of a business entity, having Revenue Rs.210,000 and net Loss Rs.25000.

(b) Enlist the complete Accounting cycle.

3. The following are the transaction of Farhan Traders for the month of April 2018.

- April 01: Mr. Farhan started his business with a cash Rs.500,000 and a shop building Rs. 800,000.
 April 05: Purchased merchandise for cash Rs.100,000 and on account Rs.50,000.
 April 08: Opened a bank account with cash Rs.125,000.
 April 15: Issued a Cheque to the suppliers Rs.48,500 in full statement of his account Rs.50,000.

April 25: Proprietor withdraw cash Rs.15,000 and merchandise worth Rs. 4,800 business is personal use.

REQUIRED: Record the above transactions In General Journal.

4. Bari & Company uses of three column cash book on January 01, 2018. The balance of cash in hand and cash at bank Rs.18,000 and Rs.35,000 respectively. The following are transaction for the month of January 2018:

- January 02: Cash sale Rs.18,500, out of which 40% deposited into bank on the same day.
 January 05: Cash deposited into the bank Rs.8,000.
 January 10: Received a Cheque of Rs.11,950 from Jamil in full settlement of his account Rs.12,000.
 January 15: Issued a cheque of Rs.5,850 to Wakeel in full settlement of his account Rs.6,000.
 January 20: The cheque of Jamil deposited into bank.
 January 25: Withdrew from bank Rs.8,000 for private use and Rs.7,000 for office use.
 January 31: Paid salaries by Cheque Rs.14,000 and utility bills by cash Rs.5,000.

REQUIRED: Record the above transaction in a Three Column Cash Book. Balance the cash book on Jan. 31, 2018 and bring down the balance on February 01, 2018.

5. Given below in page No. 10 of the single column purchases journal of Saqib Traders, containing some irrelevant transaction recorded incorrectly by a newly appointed employee of the firm.

Mr. Saqib Traders			
Date	Name Of Suppliers	P.R	Amount
05-03-2018	Purchased merchandise from Aslam & Co. term 2/10, n/30.		12,000
10-03-2018	Purchased merchandise for cash		8,000
12-03-2018	Purchased office equipment from Kashif Engineering.		20,000
15-03-2018	Purchased merchandise from Umer & Company on credit.		15,000
20-03-2018	Purchased office supplies on account from Iqbal & Sons.		1,000
25-03-2018	Purchased merchandise from Aslam & Co. term 2/10, n/30.		15,000
30-03-2018	Purchased merchandise on account from Kamil & Co. term n/30		18,000

REQUIRED:

- Prepare a revised and correct purchase journal from the above data.
 - Set up purchase account No. 5001 appropriate controlling account in the general ledger.
6. A study of cash record and Bank statement of M/s Noman Traders of the month of March 2018 revealed the following information:
- Balance as per cash book Rs.55,000.
 - Balance as per Bank statement Rs.70,000.
 - Cheques of Rs.70,500 deposited in the Bank but only Rs.46,000 was credited.
 - Cheques of Rs.63,000 issued but only Rs.31,000 presented for payment.
 - Direct deposit by a customer into the Bank Rs.10,000.
 - Dishonoured Cheque Rs.3,500.
 - Bank services charges Rs.500.
 - Profit created by bank Rs.1,500.

REQUIRED: Prepare a Bank Reconciliation statement on March 31, 2018.

7. The following errors were discovered before closing the book of accounts of M/s max Company.
- Purchases of furniture Rs.25,000 was debited to purchase account.
 - Return of defective goods worth Rs.5,000 to the supplier was credit to purchases account.
 - Ordinary repairs costing Rs.1,300 to office equipment was debited to office equipment account.
 - Depreciation was overcharged by Rs.5,000 through allowance for depreciation account.
 - Sales of old furniture for Rs.4,000 cash was recorded to sales account.
 - Purchases office supplies on account for Rs.8,500 was recorded and posted as Rs.5,600.

REQUIRED: Prepare correcting entrees In G. Journal

SECTION 'C' (DETAILED-ANSWER QUESTIONS)

Instruction: Attempt the following questions which is compulsory.

1. The following have been balances taken from the pre-closing trial balance of UWH Traders of Dec. 31, 2017.

Particulars	Debit	Credit
Cash	140,000	
Bank	100,000	
Account Receivable	75,000	
Merchandise Inventory (opening)	35,000	
Unexpired Insurance	25,000	
Purchases	230,000	
Equipment	60,000	
Purchase return		15,000
Transportation-In	5,000	
Sales Discount	5,000	
Account Payable		60,000
Bank loan		130,000
Rent Expenses	60,000	
Sales		305,000
Sales return	5,000	
Commission Income		17,000
Capital		237,000
Drawing	24,000	
Total	764,000	764,000

Data of Adjustment on December 31, 2017:

- Merchandise Inventory at December 31, 2017 Rs.60,000.
- Unpaid Rent Rs.2,000.
- Insurance Expired Rs.12,000.
- Depreciation on Equipment estimated at Rs.4,000.

REQUIRED:

- Income Statement for the year ended Dec. 31, 2017.
- Adjusting and Closing entries in General Journal.
- Balance Sheet as on December 31, 2017.